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# China Economics

## Near-term Focus on Policy Transmission – Takeaways from MPR 1Q26

### CITI'S TAKE

The PBoC published its Monetary Policy Report (MPR) for 1Q26 yesterday ([PBoC](#), May 11<sup>th</sup>). The MPR carries little incremental information following an uneventful Politburo meeting. The PBoC reaffirmed its moderately loose monetary policy stance amid price recovery, with more caution on imported inflation from commodity prices. Rate cuts remain unlikely near-term, with the PBoC's focus on improving transmission. The return of "stable exchange rate environment for the real economy" language — absent in 4Q25 — points to a "managed appreciation" approach, in our view. As [we have said earlier](#), the upcoming US-China summit remains a potential catalyst that could move the exchange rate. The central bank touched on [AI's macro impact](#), with eyes still on growth and exports rather than the labor market. We maintain our call for a symbolic 10bps cut in 2H26E, contingent on fading export momentum and/or labor market stress. We summarize our takeaways in this note.

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## **#1. Reiterate moderately loose monetary policy stance with a cautious eye on PPI**

**The PBoC echoed the Politburo's economic assessment, with little deviation.** The central bank characterized the momentum of high-quality development as strengthening, pointed to improving demand conditions, and acknowledged more proactive policy effects — while maintaining that both external and domestic challenges persist. In line with this balanced assessment, the PBoC reaffirmed its moderately loose monetary policy stance and, following the Politburo's lead, pledged to enhance the forward-looking, flexible, and targeted nature of monetary policy implementation (增强政策前瞻性灵活性针对性).

**The PBoC offered more detail on the inflation outlook, with a cautious eye on external price pressures.** Major price indicators continued their mild recovery, with PPI turning positive in March. The PBoC attributed it to an improved supply-demand balance underpinned by the economy's steady start to the year, which it sees as laying the foundation for a broader price recovery. On the external side, the central bank flagged that commodity price movements linked to [the Middle East conflict carry](#) some pass-through risk to domestic inflation and called for close monitoring of imported inflation pressures. More broadly, the PBoC also noted rising uncertainty stemming from the policy responses of global central banks amid the ongoing conflict.

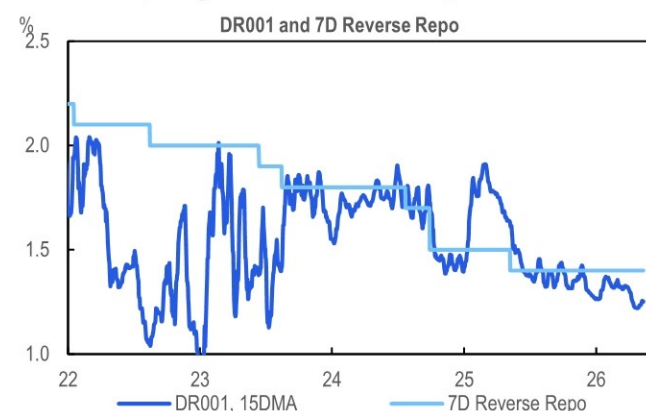
## **#2. Any hint of rate cuts?**

**The 1Q26 MPR offers no signal of imminent rate cuts, consistent with the Politburo's tone.** The PBoC reiterated its commitment to keeping financing costs low but stopped short of guiding them lower — the same as in MPR for 4Q25 and unsurprising given that the current policy focus has shifted squarely toward improving transmission rather than further easing.

- **For interbank rate**, the PBoC further specified to lead the overnight rate around the policy rate, compared with broad mentioning of short-term money market rates. This MPR didn't mention the very loose liquidity conditions in the interbank market since 2Q.
- **For interest rate compliance**, the PBoC signaled a more assertive supervisory posture, committing to enforcement inspections of financial institutions' adherence to interest rate policies and on-site assessments of their pricing capabilities. It aims to enhance the financial institutions' interest rate pricing capabilities.
- **For broader transmission barriers**, the PBoC flagged its intention to crack down on market practices deemed to obstruct monetary policy transmission.

**Chances of a near-term rate cut is very low.** We continue to see a 10bps symbolic rate cut in 2H26E, if exports momentum fades and/or labor market stress intensifies. Accelerating PPI inflation could further delay the cut.

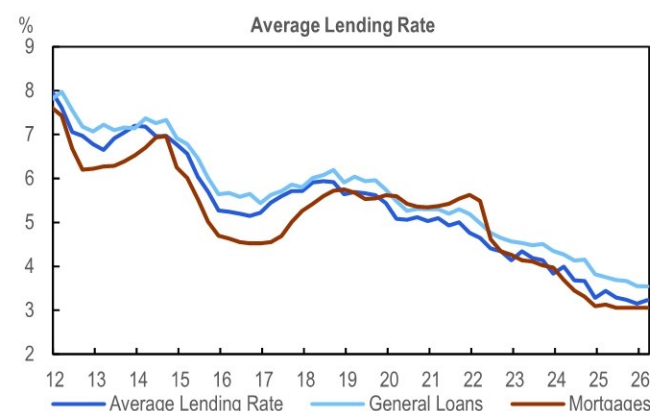
**Figure 1. The PBoC mentioned explicitly to guide overnight rate around policy rate in the MPR for 1Q26**



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Source: PBoC, CEIC, Citi Research

**Figure 2. Lending rate stayed close to all-time low in 1Q26**



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Source: PBoC, Wind, Citi Research

### #3. Exchange rate and RMB internationalization

**The PBoC kept its exchange rate discussion mostly unchanged with only one returning phase.** The 1Q26 report mentioned to “create stable exchange rate environment for the real economy (为实体经济营造稳定的汇率环境)” again after leaving it out in the MPR for 4Q25. The same discussion appeared in the MPRs for 2Q25 and 3Q25. The PBoC could lean towards more “managed appreciation” in FX, in our view. Exporters' profit margins likely factor into this calculus. In the very near term, however, [the US-China Presidential Summit](#) remains a potential catalyst that could move the exchange rate.

#### **The PBoC added incremental but still vague detail on RMB internationalization.**

The 1Q26 MPR introduced new language around optimizing cross-border fund management for FDI and overseas loans, an addition compared with 4Q25. The remainder of the discussion was carried over unchanged, maintaining the focus on expanding RMB's cross-border usage and deepening the offshore RMB market. In our view, the PBoC is likely seeking to broaden RMB's role as a funding currency — a natural next step in the internationalization agenda.

### #4. AI in the macro context

**The PBoC discussed AI for the first time in its sector analysis.** From a macro standpoint, the sector's expansion is striking: the core AI industry is estimated to surpass RMB1.2trn in 2025, with meaningful contributions to exports and corporate profitability. The PBoC cited 29% YoY revenue growth and 108% YoY profit growth in 2025 among AI-related companies listed on the STAR board. On the financing side, the central bank highlighted the financial system's supportive role — through lower funding costs, improved financing structures, and tailored instruments for the sector. The forward-looking commentary pointed to further technology breakthroughs, broader industrial adoption, and overseas expansion opportunities.

**The macro points are valid, in our view, albeit more policy attention is warranted on the employment impact.** [We have previously estimated](#) that the new economy is now broadly comparable in scale to the old economy, yet AI introduces a structural displacement risk in the labor market, particularly in services, that risks widening the macro-micro disconnect. [Early warning signs](#) may already be



emerging: the unexpected rise in the unemployment rate in March, and the notable deterioration for the 25–29 age cohort, warrant closer scrutiny. In this regard, the PBoC continues to characterize employment as stable, drawing on quarterly average unemployment rates.



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